

Decision Memo: Sona Urea Plan 2026

To: Head of Supply Chain; copy Operations, Sales, Procurement, Finance.

Company-Calibrated Synthetic Dataset for Academic Analysis — illustrative figures, calibrated to Fauji Fertilizer Company Limited's disclosed scale, not actual company records.

Recommendation

Commit to producing 622 KT of Sona Urea over the next 12 weeks (29 Dec 2025 to 22 Mar 2026), against central forecast demand of 591 KT (range 508–674 KT).

- Goth Machhi and Mirpur Mathelo at full rate; Port Qasim at 50% (7% of capacity held back).
- Turnaround 23 Feb–12 Apr; no discount scheme in Q1; about 200 KT of stock by 1 Nov.
- End-March: Port Qasim 100% above 676 KT of Q1 sales; off, plus July maintenance, below 581 KT.

Evidence

- **Demand:** 2,948 KT central for 2026 (2,746–3,149 KT); averaged forecast, rolling WAPE 18.1%.
- **Drivers:** peak weeks +11.7 KT a week; schemes +8.7 KT at PKR 1,479 per extra bag.
- **Cost of being wrong:** PKR 0–2.1 bn, against 0.3–14.9 bn at full rate.
- **Main risk:** a 20% slump leaves 306 KT excess (PKR 9.0 bn); capacity and opening stock are unverified.

Review triggers

- **Before 1 Jan:** opening stock below 100 KT → Port Qasim 100%; above 250 KT → off.
- **End of Q1:** sales above 676 KT → Port Qasim 100%; below 581 KT → off, plus July maintenance.
- **Weekly:** tracking signal outside ± 4 for two weeks → reforecast; stock below 57 KT → stop schemes.